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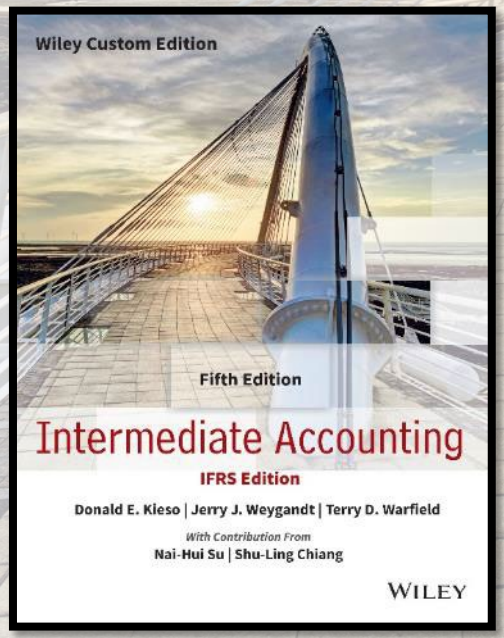
WILEY

Intermediate Accounting IFRS Edition

Kieso, Weygandt, Warfield

Fifth Edition

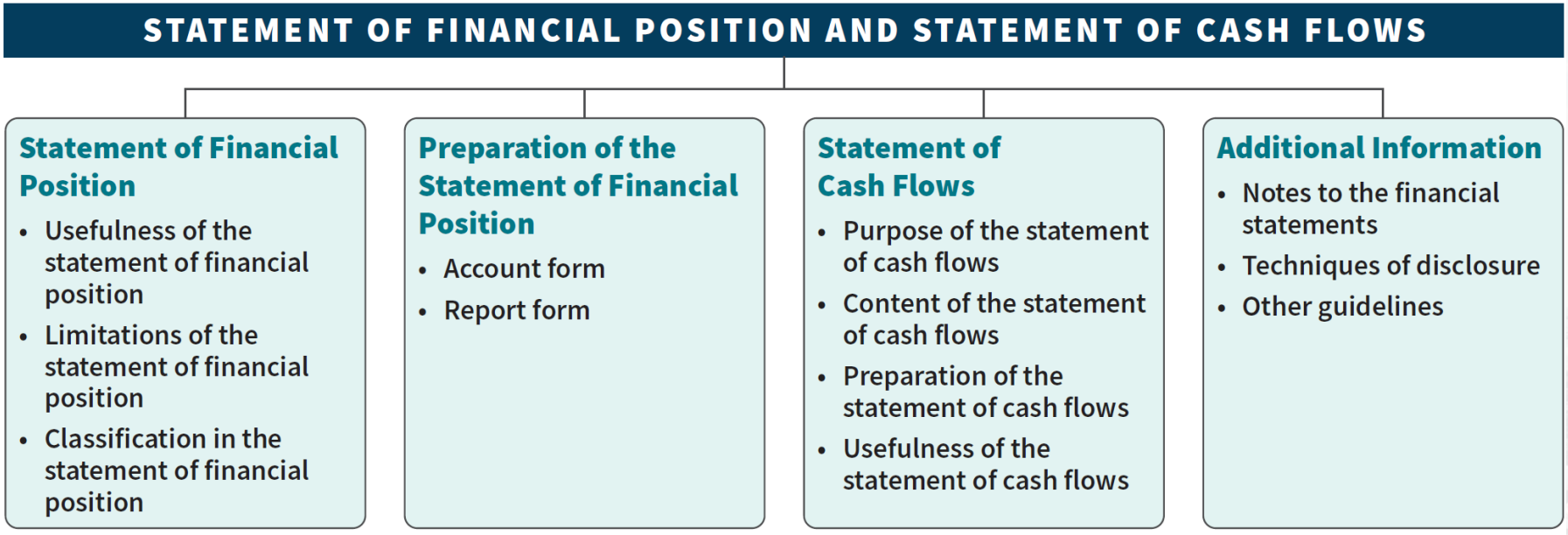
Chapter 3



Statement of Financial Position and Statement of Cash Flows

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PREVIEW OF CHAPTER 3



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Statement of Financial Position

Statement of financial position, also referred to as the **balance sheet**:

1. Reports assets, liabilities, and equity at a specific date.
2. Provides information about resources, obligations to creditors, and equity in net resources.
3. Helps in predicting amounts, timing, and uncertainty of future cash flows.

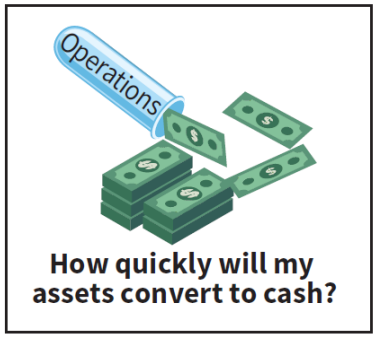
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Statement of Financial Position

Usefulness

- Computing rates of return.
- Evaluating the capital structure.
- Assess risk and future cash flows.
- Assess the company's:
  - Liquidity,
  - Solvency, and
  - Financial flexibility.

Liquidity



Solvency



Financial Flexibility

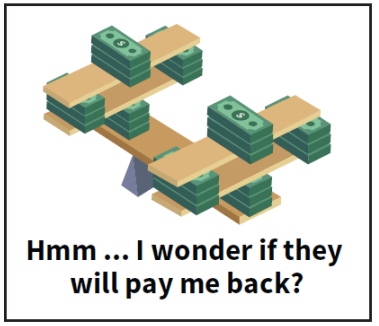


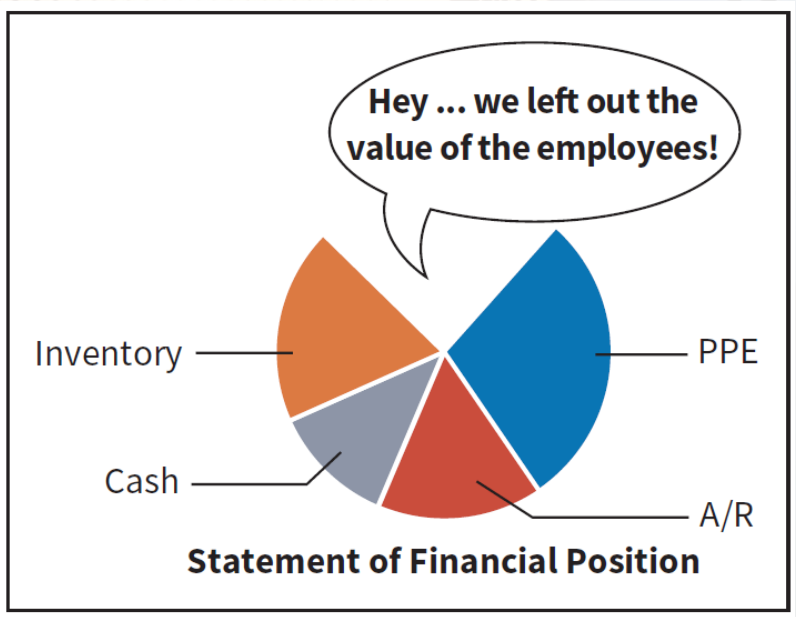
ILLUSTRATION 3.1

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Statement of Financial Position

Limitations

- Most assets and liabilities are reported at **historical cost**.
- Use of **judgments** and **estimates**.
- Many items of **financial value** are **omitted**.



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Elements of the Statement of Financial Position

ASSET

LIABILITY

EQUITY

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Statement of Financial Position Classification

Assets	Equity and Liabilities
Non-current assets	Equity
Investments	*Share capital*
Property, plant, and equipment	*Share premium*
Intangible assets	*Retained earnings*
Other assets	*Accumulated other comprehensive income*
Current assets	*Non-controlling interest*
	Non-current liabilities
	Current liabilities

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Classification

Non-Current Assets

Generally consists of:

- Long-Term Investments
- Property, Plant, and Equipment
- Intangibles Assets
- Other Assets

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Non-Current Assets

Long-Term Investments

1. **Securities** (bonds, ordinary shares, or long-term notes).
2. **Tangible assets** not currently used in operations (land held for speculation).
3. **Special funds** (sinking fund, pension fund, or plant expansion fund).
4. **Non-consolidated subsidiaries** or associated companies.

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Non-Current Assets

Property, Plant, and Equipment

Tangible long-lived assets used in the regular operations of the business.

- **Physical property** such as land, buildings, machinery, furniture, tools, and wasting resources (minerals).
- With the exception of land, a company either depreciates (e.g., buildings) or depletes (e.g., oil reserves) these assets.

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Non-Current Assets

Intangible Assets

Lack physical substance and are not financial instruments.

- Patents, copyrights, franchises, goodwill, trademarks, trade names, and customer lists.
- Amortize limited-life intangible assets over their useful lives.
- Periodically assess indefinite-life intangibles for impairment.

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Non-Current Assets

Other Assets

Items vary in practice. Can include:

- Long-term prepaid expenses
- Non-current receivables
- Assets in special funds
- Property held for sale
- Restricted cash or securities

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Current Assets

Operating Cycles

- The operating cycle is the average time between when a company acquires materials and supplies and when it receives cash for sales of the product (for which it acquired the materials and supplies).
- The cycle operates from cash through inventory, production, receivables, and back to cash.

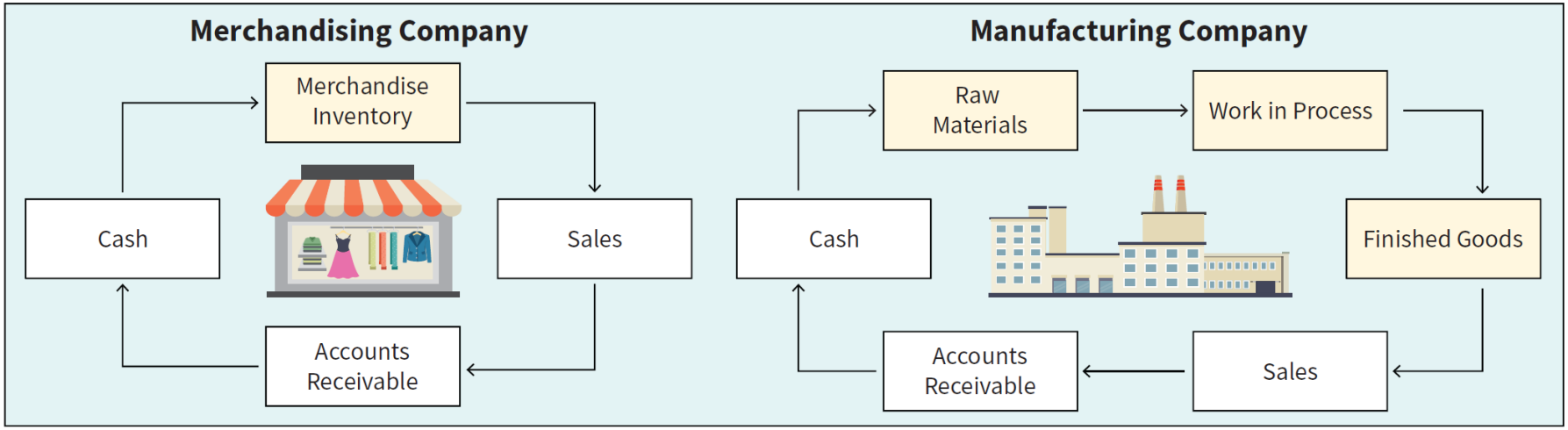


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Classification

Current Assets

- Generally, if a company expects to convert an asset into cash or to use it to pay a current liability within a year or the operating cycle, whichever is longer, it classifies the asset as current.
- The five major items found in the current assets section, and their bases of valuation, are generally presented in the following order.

Item	Basis of Valuation
Prepaid expenses	Cost
Inventories	Lower-of-cost-or-net realizable value
Receivables	Estimated amount collectible
Short-term investments	Generally, fair value
Cash and cash equivalents	Fair value

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Current Assets

Prepaid Expenses

- Payment of cash, that is recorded as an asset because service or benefit will be received in the future.

Cash Payment **BEFORE** Expense Recorded

- Prepayments often occur in regard to:
  - Insurance
  - Supplies
  - Advertising
  - Rent
  - Taxes

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Inventories

Disclose:

- Basis of valuation (e.g., lower-of-cost-or-net realizable value).
- Cost flow assumption (e.g., FIFO or average cost).

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Receivables

Major categories of receivables should be shown in the statement of financial position or the related notes.

A company should clearly identify

- Anticipated loss due to uncollectible.
- Amount and nature of any non-trade receivables.
- Receivables used as collateral.

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Current Assets

Cash

- Generally consist of currency and demand deposits.
- **Cash equivalents** - short-term, highly liquid investments that mature within three months or less.
- Restrictions or commitments must be disclosed.

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Classification

Equity

1. **Share Capital.** The par or stated value of shares issued. It includes ordinary shares (sometimes referred to as *common shares*) and preference shares (sometimes referred to as *preferred shares*).
2. **Share Premium.** The excess of amounts paid-in over the par or stated value.
3. **Retained Earnings.** The company's undistributed earnings.
4. **Accumulated Other Comprehensive Income.** The aggregate amount of the other comprehensive income items.
5. **Treasury Shares.** Generally, the amount of ordinary shares repurchased.
6. **Non-Controlling Interest.** A portion of the equity of subsidiaries not owned by the reporting company.

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Classification

Non-Current Liabilities

Obligations that a company does not reasonably expect to liquidate within the longer of one year or the normal operating cycle. Three types:

1. Obligations arising from specific financing situations.
2. Obligations arising from the ordinary operations of the company.
3. Obligations that depend on the occurrence or non-occurrence of one or more future events to confirm the amount payable, or the payee, or the date payable.

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Classification

Current Liabilities

Obligations that a company generally expects to settle in its normal operating cycle or one year, whichever is longer.

Includes:

1. Payables resulting from the acquisition of goods and services.
2. Collections received in advance for the delivery of goods or performance of services.
3. Other liabilities whose liquidation will take place within the operating cycle or one year.

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Statement of Financial Position

Account Form and Report Form

- IFRS **does not specify** the order or format of the items in the statement.
- **Two general forms:**
  - Account form
    - Assets on left side
    - Equity and liabilities on right side
  - Report form
    - Lists the sections one above the other

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Statement of Cash Flows

An important element of the objective of financial reporting is

“assessing the amounts, timing, and uncertainty of cash flows.”

IASB requires the **statement of cash flows** (also called the cash flow statement).

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Purpose of the Statement of Cash Flows

Primary Purpose: To provide relevant information about the **cash receipts** and **cash payments** of an enterprise during a period.

Statement provides answers to the following questions:

1. Where did the cash come from?
2. What was the cash used for?
3. What was the change in the cash balance?

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Content of the Statement of Cash Flows



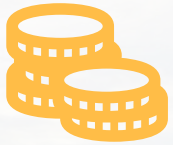
Operating Activities

Transactions that enter into the determination of net income.



Investing Activities

Making and collecting loans and acquiring and disposing of investments and property, plant, and equipment.



Financing Activities

Transactions involving liability and equity items.

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Cash Inflows and Outflows

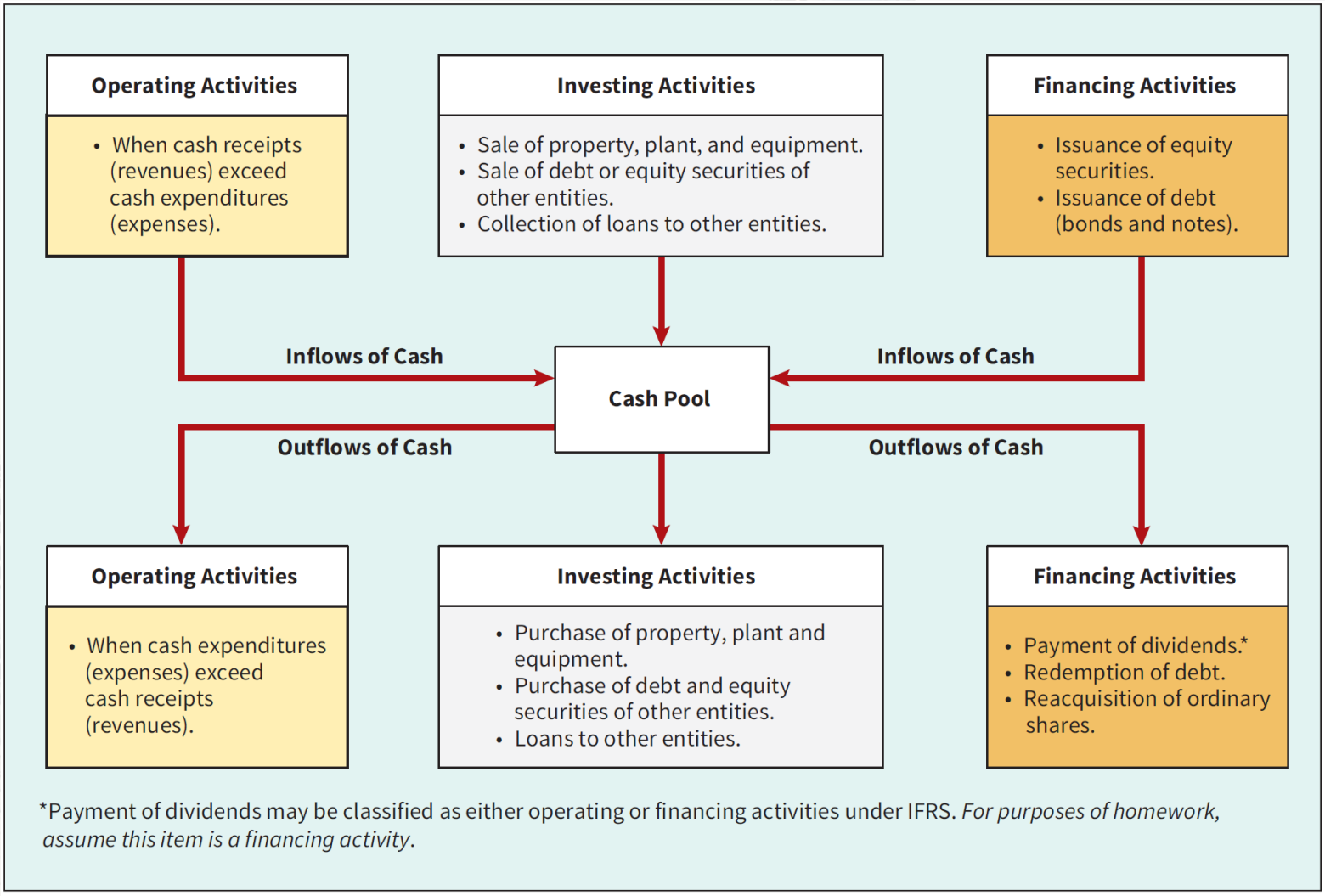


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Sources of Information

Information obtained from several sources:

1. comparative statements of financial position,
2. current income statement, and
3. selected transaction data.

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Comparative Statements of Financial Position

Telemarketing Inc.
Statements of Financial Position

Assets	Dec. 31, 2026	Jan. 1, 2026	Increase/Decrease
Land	$15,000	$–0–	$15,000 Increase
Accounts receivable	41,000	–0–	41,000 Increase
Cash	31,000	–0–	31,000 Increase
Total	$87,000	$–0–	
Equity and Liabilities			
Share capital	$50,000	$–0–	50,000 Increase
Retained earnings	25,000	–0–	25,000 Increase
Accounts payable	12,000	–0–	12,000 Increase
Total	$87,000	$–0–	

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Income Statement Data

Telemarketing Inc.
Income Statement
For the Year Ended December 31, 2026

Revenues	$172,000
Operating expenses	120,000
Income before income tax	52,000
Income tax	13,000
Net income	$ 39,000

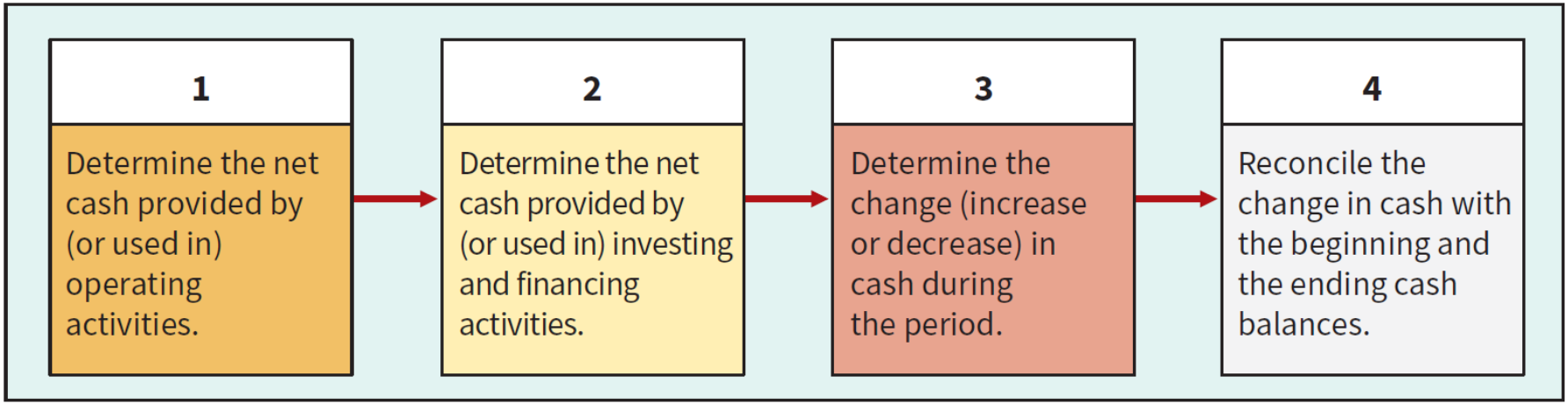
Additional information:
Dividends of $14,000 were paid during the year.

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Preparation of Statement of Cash Flows

Four Steps



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Preparation of Statement of Cash Flows

Four Steps

Step 1. Determine:

1. Net cash provided by (or used in) operating activities.
2. Net cash provided by (or used in) investing and financing activities.
3. Determine the change (increase or decrease) in cash during the period.
4. Reconcile the change in cash with the beginning and the ending cash balances.

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Net Cash Provided by Operating Activities

- Excess of cash receipts over cash payments from operating activities.
- Determined by converting net income on an accrual basis to a cash basis.
- Add to or deduct from net income those items in the income statement that do not affect cash.
- Requires an analysis of the current year's income statement, comparative statements of financial position and selected transaction data.

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Investing and Financing Activities

Purchase of Land

Paid $15,000 to buy land

Land	15,000		The credit to Cash in this journal entry indicates a cash outflow from an investing activity.
Cash		15,000	
Cash	50,000		The debit to Cash in this journal entry indicates a cash inflow from a financing activity.
Share Capital		50,000	
Retained Earnings	14,000		The credit to Cash in this journal entry indicates a cash outflow from a financing activity.
Cash		14,000	

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Investing and Financing Activities

Issuance of Ordinary Shares

Receipt of $50,000 cash from issuance of shares

Land	15,000		The credit to Cash in this journal entry indicates a cash outflow from an investing activity.
Cash		15,000	
Cash	50,000		The debit to Cash in this journal entry indicates a cash inflow from a financing activity.
Share Capital		50,000	
Retained Earnings	14,000		The credit to Cash in this journal entry indicates a cash outflow from a financing activity.
Cash		14,000	

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Investing and Financing Activities

Payment of Dividends

Paid $14,000 for dividends

Land	15,000		The credit to Cash in this journal entry indicates a cash outflow from an investing activity.
Cash		15,000	
Cash	50,000		The debit to Cash in this journal entry indicates a cash inflow from a financing activity.
Share Capital		50,000	
Retained Earnings	14,000		The credit to Cash in this journal entry indicates a cash outflow from a financing activity.
Cash		14,000	

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Step 3. Determine

Change (Increase or Decrease) in Cash During the Period

Telemarketing Inc.'s statement of cash flows

- The company determines the **net increase in cash.**
- A net increase in cash of $31,000.

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Statement of Cash Flows

Net increase in cash of $31,000

Telemarketing Inc.
Statement of Cash Flows
For the Year Ended December 31, 2026

Cash flows from operating activities		
Net income		$39,000
Adjustments to reconcile net income to net cash provided by operating activities:		
Increase in accounts receivable	$(41,000)	
Increase in accounts payable	12,000	(29,000)
Net cash provided by operating activities		10,000
Cash flows from investing activities		
Purchase of land	(15,000)	
Net cash used by investing activities		(15,000)
Cash flows from financing activities		
Issuance of ordinary shares	50,000	
Payment of cash dividends	(14,000)	
Net cash provided by financing activities		36,000
Net increase in cash		31,000
Cash at beginning of year		–0–
Cash at end of year		$31,000

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Step 4. Reconcile

Change in Cash with the Beginning and the Ending Cash Balances

- The increase in cash of $31,000 reported in the statement of cash flows is equal to $31,000 in cash calculated from the comparative statements of financial position.

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Preparation of Statement of Cash Flows

Significant Non-Cash Activities

Reported in a **separate note** to the financial statements.

Examples include:

1. Issuance of ordinary shares to purchase assets.
2. Conversion of bonds into ordinary shares.
3. Issuance of debt to purchase assets.
4. Exchanges on long-lived assets.

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Comprehensive Statement of Cash Flows

Nestor SA
Statement of Cash Flows
For the Year Ended December 31, 2026

Cash flows from operating activities		
Net income		€320,750
Adjustments to reconcile net income to net cash provided by operating activities:		
Depreciation expense	€88,400	
Amortization of intangibles	16,300	
Gain on sale of plant assets	(8,700)	
Increase in accounts receivable (net)	(11,000)	
Decrease in inventory	15,500	
Decrease in accounts payable	(9,500)	91,000
Net cash provided by operating activities		411,750
Cash flows from investing activities		
Sale of plant assets	90,500	
Purchase of equipment	(182,500)	
Purchase of land	(70,000)	
Net cash used by investing activities		(162,000)
Cash flows from financing activities		
Payment of cash dividend	(19,800)	
Issuance of ordinary shares	100,000	
Redemption of bonds	(50,000)	
Net cash provided by financing activities		30,200
Net increase in cash		279,950
Cash at beginning of year		135,000
Cash at end of year		€414,950[1]

[1] **Cash Flow Note**
A non-cash investing and financing activity was the purchase of equipment through issuance of €50,000 of bonds.

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Usefulness of Statement of Cash Flows

Without cash, a company will not survive.

Cash flow from Operations:

- High amount - able to generate sufficient cash from operations to pay its bills without further borrowing.
- Low or negative amount - may have to
  - borrow or
  - issue equity securities.

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Negative Net Cash Provided by Operating Activities

- Substantial increases in receivables and/or inventory can explain the difference between positive net income and negative net cash provided by operating activities.
- For example, in its first year of operations Hu Inc. reported a net income of HK$80,000. Its net cash provided by operating activities, however, was a negative HK$95,000.

Hu Inc.
Statement of Cash Flows (partial)

Cash flows from operating activities		
Net income		HK$ 80,000
Adjustments to reconcile net income to net cash provided by operating activities:		
Increase in receivables	HK$ (75,000)	
Increase in inventory	(100,000)	(175,000)
Net cash provided by operating activities		HK$ (95,000)

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Usefulness of Statement of Cash Flows

Liquidity

- Ratio indicates the ability to pay off current liabilities from operations.
- Ratio near 1:1 is good.

$$\frac{\text{Net Cash Provided by Operating Activities}}{\text{Average Current Liabilities}} = \text{Current Cash Debt Coverage}$$

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Usefulness of Statement of Cash Flows

Financial Flexibility

- Ratio indicates the ability to repay liabilities from net cash provided by operating activities, without having to liquidate assets employed in operations.

$$\frac{\text{Net Cash Provided by Operating Activities}}{\text{Average Total Liabilities}} = \text{Cash Debt Coverage}$$

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Usefulness of Statement of Cash Flows

Free Cash Flow

- It can use this cash flow to purchase additional investments, retire its debt, purchase treasury shares, or simply add to its liquidity.

Net Cash Provided by Operating Activities	–	Capital Expenditures	–	Cash Dividends	=	Free Cash Flow

- In a free cash flow analysis, we first deduct capital spending, to indicate it is the least discretionary expenditure a company generally makes.
- We then deduct dividends. Although a company can cut its dividend, it usually will do so only in a financial emergency.

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Additional Information

IFRS requires that a complete set of financial statements be presented annually. Comprised of the following:

1. **Statement of financial position** at the end of the period;
2. **Statement of comprehensive income** for the period to be presented either as:
   a) One single statement of comprehensive income.
   b) A separate income statement and statement of comprehensive income.
3. **Statement of changes in equity**;
4. **Statement of cash flows**; and
5. **Notes**, comprising a summary of significant accounting policies and other explanatory information.

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Additional Information

Notes to the Financial Statements

Accounting Policies

- Specific principles, bases, conventions, rules, and practices applied in preparing and presenting financial information.
- First note generally titled, “Summary of Significant Accounting Policies.”

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Additional Notes to the Financial Statements

Item 1

IFRS requires specific disclosures. Examples include:

1. Items of property, plant, and equipment are disaggregated into classes such as
   - land,
   - buildings, etc.,
   - in the notes, with related accumulated depreciation reported where applicable.

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Additional Notes to the Financial Statements

Item 2

IFRS requires specific disclosures. Examples include:

2. Receivables are disaggregated into amounts
   - receivable from trade customers,
   - receivables from related parties,
   - prepayments, and
   - other amounts.

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Additional Notes to the Financial Statements

Items 3 and 4

IFRS requires specific disclosures. Examples include:

3. Inventories are disaggregated into classifications such as merchandise, production supplies, work in process, and finished goods.
4. Provisions are disaggregated into provisions for employee benefits and other items.

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Techniques of Disclosure

Cross-Reference and Contra Items

- Companies "cross-reference" a direct relationship between an asset and a liability on the statement of financial position.

Current Assets (in part)	
Cash on deposit with sinking fund trustee for redemption of bonds payable—see Current liabilities	$800,000

Current Liabilities (in part)	
Bonds payable to be redeemed in 2026—see Current assets	$2,300,000

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Other Guidelines

Offsetting

Consistency

Fair Presentation

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Using Ratios to Analyze Performance

Major Types of Ratios

- **Liquidity Ratios.** Measures of the company's short-term ability to pay its maturing obligations.
- **Activity Ratios.** Measures of how effectively the company uses its assets.
- **Profitability Ratios.** Measures of the degree of success or failure of a given company or division for a given period of time.
- **Coverage Ratios.** Measures of the degree of protection for long-term creditors and investors.

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A Summary of Financial Ratios

Liquidity and Activity Ratios

Ratio	Formula	Purpose or Use
I. Liquidity		
1. Current ratio	$\frac{\text{Current assets}}{\text{Current liabilities}}$	Measures short-term debt-paying ability
2. Quick or acid-test ratio	$\frac{\text{Cash + Short-term investments + Accounts receivable (net)}}{\text{Current liabilities}}$	Measures immediate short-term liquidity
3. Current cash debt coverage	$\frac{\text{Net cash provided by operating activities}}{\text{Average current liabilities}}$	Measures a company's ability to pay off its current liabilities in a given year from its operations
II. Activity		
4. Accounts receivable turnover	$\frac{\text{Net sales}}{\text{Average net accounts receivable}}$	Measures liquidity of receivables
5. Inventory turnover	$\frac{\text{Cost of goods sold}}{\text{Average inventory}}$	Measures liquidity of inventory
6. Asset turnover	$\frac{\text{Net sales}}{\text{Average total assets}}$	Measures how efficiently assets are used to generate sales

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A Summary of Financial Ratios

Profitability Ratios

Ratio	Formula	Purpose or Use
III. Profitability		
7. Profit margin on sales	$\frac{\text{Net income}}{\text{Net sales}}$	Measures net income generated by each dollar of sales
8. Return on assets	$\frac{\text{Net income}}{\text{Average total assets}}$	Measures overall profitability of assets
9. Return on share capital—ordinary	$\frac{\text{Net income} - \text{Preference dividends}}{\text{Average shareholders' equity—ordinary}}$	Measures profitability of owners' investment
10. Earnings per share	$\frac{\text{Net income} - \text{Preference dividends}}{\text{Weighted-average ordinary shares outstanding}}$	Measures net income earned on each ordinary share
11. Price-earnings ratio	$\frac{\text{Market price of share}}{\text{Earnings per share}}$	Measures the ratio of the market price per share to earnings per share
12. Payout ratio	$\frac{\text{Cash dividends}}{\text{Net income}}$	Measures percentage of earnings distributed in the form of cash dividends

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A Summary of Financial Ratios

Coverage Ratios

Ratio	Formula	Purpose or Use
IV. Coverage		
13. Debt to assets ratio	Total liabilities / Total assets	Measures the percentage of total assets provided by creditors
14. Times interest earned	(Net income + Interest expense + Income tax expense) / Interest expense	Measures ability to meet interest payments as they come due
15. Cash debt coverage	Net cash provided by operating activities / Average total liabilities	Measures a company's ability to repay its total liabilities in a given year from its operations
16. Book value per share	Shareholders' equity—ordinary / Outstanding shares	Measures the amount each ordinary share would receive if the company were liquidated at the amounts reported on the statement of financial position
17. Free cash flow	Net cash provided by operating activities – Capital expenditures – Cash dividends	Measures the amount of discretionary cash flow

ILLUSTRATION 3A.1

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